

2026 STV Business Goals Assignment Letter

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Dear **Manoj Sai Penugonda**,

We are pleased to provide the details regarding the Short-Term Variable (STV) incentive opportunity as well as global STV Plan Rules for the 2026 Plan Year. Your hard work and dedication are highly valued, and we believe that the 2026 STV program will provide additional motivation and reward for your contributions to the success of our organization.

STV Plan Details: You can earn an STV payment based on business goals that are set at an organizational level and applied directly to you as a member of the respective organization. Business goals are set forth below:

From **June 8, 2026 To June 9, 2026**

Business Goals	Weight	Robust	Commitment	Stretch	Unit of Measure
2026 Group Economic Profit	25%	0.00	100.00	200.00	Numeric
2026 Segment CSS Net Sales	30%	0.00	100.00	200.00	Numeric
2026 Segment CSS Economic Profit	45%	0.00	100.00	200.00	Numeric

From **June 10, 2026 To December 31, 2026**

Business Goals	Weight	Robust	Commitment	Stretch	Unit of Measure
2026 Group Economic Profit	25%	0.00	100.00	200.00	Numeric
2026 Segment CSS Net Sales	30%	0.00	100.00	200.00	Numeric
2026 Segment CSS Economic Profit	45%	0.00	100.00	200.00	Numeric

STV Program Payout Structure: STV payout if any is dependent on performance of the business against your applicable unit's business goals, your individual performance, and your individual STV commitment level. For more information on how STV is calculated, please see the [STV 2026 Instruction](#).

1. Commitment level and Bonus Amount

The 'on target' level is called STV commitment level (%) and is defined as a percentage of your annual base salary. STV commitment percentage is set at a level that is appropriately competitive for the position (job role/job stage) in the local geographical market. The maximum payout (Stretch level) is equal to two times the STV commitment level. STV payments are subject to all applicable statutory deductions (e.g., tax and social security).

2. Goal performance, payout and revision:

Business goals have three levels of achievement specified:

- Robust (threshold) = below target business performance. High probability of achievement, but not certain. No STV payout.
- Commitment (on-target) = on-target business performance, the probable outcome when the organization has delivered the expected impact. Commitment level payout.
- Stretch (cap) = extraordinary business performance, low probability of achieving but clearly feasible. Maximum payout, i.e. 2x commitment.

3. Payment Schedule

STV is paid annually. For **2026** STV, every effort will be made to process payout in March **2027**. However, Ericsson reserves the right to process the payout in April **2027** or to delay further where it may be required.

4. Other Conditions(*) :

- For 2026 (payout in 2027), employees who resign with a last working day on or before February 28, 2027, are not eligible for STV payment (local practice may vary).
- Ericsson reserves the right to reduce or cancel STV payouts for all STV participants if Ericsson Group faces severe economic difficulties, for instance in circumstances as serious as no dividend being paid. A decision to reduce or cancel STV payout in case of severe economic difficulties shall be taken by the Remuneration Committee.
- The total payout may be reduced or cancelled for STV participants who have received the lowest performance category (Unsatisfactory) in the IPM Wrap Up.
- Ericsson has the right in its discretion to deny in whole or in part the entitlement to STV payout and also the right in its discretion to claim repayment in whole or in part the STV paid if a participant (including Executives, ET members) has acted in breach of [Code of Business Ethics \(CoBE\)](#).
- Important for LTAs: The RBS reflected for the LTA assignment may appear inaccurate in this form during the plan year because RBS details for LTAs are not fully updated in SuccessFactors. Any required corrections will be applied before the payout review cycle in January next year.

(*)The implementation of these conditions will be in accordance with applicable local laws, collective agreements, and any legally mandated regulations, as outlined in the local variable pay instructions for your country.

The [STV 2026 Instruction](#) sets forth the terms and conditions of your ability to earn STV 2026.

Please review this letter and the Global STV 2026 Instruction carefully and feel free to reach out to your manager with any questions or clarifications.

STV business goals are established at the organizational level and typically apply to all employees belonging to the respective organization.

By participating in the Ericsson Global STV plan, you confirm that:

- you have read and understood the global STV Instruction document and any related local instruction.
- you accept all conditions therein, including (but not limited to) the local rules governing how and when you may earn an STV payment.
- you are required to comply with the Code of Business Ethics at all times.
- disputes or controversies arising under or concerning the STV plan are resolved (through internal procedure or arbitration).
- your participation in and ability to earn incentives under the STV plan ends immediately upon ceasing to be Actively Employed as defined in the Instruction.

Thank you for your continued commitment and contribution.

Sincerely,

Ericsson

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